

Best's Credit Rating Effective Date

August 28, 2025

Analytical Contacts

Bridget Maehr
Director
Bridget.Maehr@ambest.com
+1(908) 439-2200 Ext. 908-882-2080

Sally A. Rosen
Senior Director
Sally.Rosen@ambest.com
+1(908) 439-2200 Ext. 908-882-2284

Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

UnitedHealthcare Companies

AMB #: 069183

Associated Ultimate Parent: AMB # 058106 - UnitedHealth Group Incorporated

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Downgraded

Issuer Credit Rating (ICR)

a+
Excellent
Outlook: Stable
Action: Downgraded

Assessment Descriptors

Balance Sheet Strength	Strong
Operating Performance	Strong
Business Profile	Very Favorable
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: UnitedHealthcare Companies | AMB #: 069183

AMB #	Rating Unit Members
009556	All Savers Insurance Co
064214	AmeriChoice of New Jersey
065025	Care Improvement Plus SC Ins *
006215	Chesapeake Life Ins Co
064716	Dental Benefit Providers of CA
008919	Enterprise Life Insurance Co
006269	Freedom Life Ins Co of America
006263	Golden Rule Insurance Company
068619	Health Plan of Nevada Inc
006046	MAMSI Life and Health Ins
068606	MD-Individual Practice Assoc
006774	National Foundation Life Ins
068837	National Pacific Dental Inc
064001	Neighborhood Hlth Partnership
064826	Nevada Pacific Dental
068764	Optimum Choice Inc
060022	Oxford Health Insurance, Inc.
068933	Oxford Health Plans (CT) Inc
068934	Oxford Health Plans (NJ) Inc
068716	Oxford Health Plans (NY) Inc
064777	Physicians Health Choice of TX
007370	Sierra Health and Life Ins Co
068705	UHC of California
009065	Unimerica Insurance Company
060392	Unimerica Life Ins Co of NY
068706	UnitedHealthcare Benefits TX
064874	UnitedHealthcare Comm Plan OH
064439	UnitedHealthcare Community Pln
008290	UnitedHealthcare Ins Co

AMB #	Rating Unit Members
060071	UnitedHealthcare Ins Co of IL
060108	UnitedHealthcare Ins Co of NY
064827	UnitedHealthcare Ins Rvr Vall
007771	UnitedHealthcare Life Ins Co
068702	UnitedHealthcare Plan Rvr Vall
068500	UnitedHealthcare of Alabama
068847	UnitedHealthcare of Arizona
068914	UnitedHealthcare of Arkansas
068848	UnitedHealthcare of Colorado
068782	UnitedHealthcare of Florida
068893	UnitedHealthcare of Georgia
068532	UnitedHealthcare of Illinois
068690	UnitedHealthcare of KY Ltd
068661	UnitedHealthcare of Louisiana
060118	UnitedHealthcare of MS
068987	UnitedHealthcare of Mid-Atl
068892	UnitedHealthcare of Midlands
068560	UnitedHealthcare of Midwest
068572	UnitedHealthcare of NC
068891	UnitedHealthcare of New Eng
068856	UnitedHealthcare of New York
068580	UnitedHealthcare of Ohio Inc
068582	UnitedHealthcare of Oklahoma
068707	UnitedHealthcare of Oregon Inc
064104	UnitedHealthcare of PA Inc
064219	UnitedHealthcare of Rockies
068841	UnitedHealthcare of TX Inc
068770	UnitedHealthcare of Utah, Inc.
068591	UnitedHealthcare of Washington



AMB #: 069183 - UnitedHealthcare Companies

Rating Unit - Members

AMB # Rating Unit Members
008549 UnitedHealthcare Ins Co of Am

AMB # Rating Unit Members
068824 UnitedHealthcare of Wisconsin

* AMB# 065025 was added as a member of the Rating Unit on February 03, 2026

Rating Rationale

Balance Sheet Strength: **Strong**

- Very strong Best's Capital Adequacy Ratio (BCAR) of 13.7 at the 99.6% VaR. Capital growth supported by consistently favorable earnings from operations offset by large dividends to the parent. Risk-adjusted capital has remained stable.
- Solid consolidated statutory risk-based capital. Ratio has remained in the targeted range of 225-250% company action level.
- Conservative investment portfolio that is held predominantly in investment-grade fixed-income securities and cash & short-term investments. Nominal exposure to equities and mortgage loans. Low level of invested asset risk.
- Strong liquidity supported by favorable operating cash flows, short-duration investment portfolio and high level of cash. Liquidity is enhanced by credit facilities with the parent for the vast majority of insurance subsidiaries.

Operating Performance: **Strong**

- UnitedHealthcare continues to report overall favorable underwriting and net income results albeit at lower levels than historically.
- Consistent premium growth driven by enrollment gains in commercial and government business. Top-line growth is expected to moderate as it implements rate actions and changes to product offerings to reflect current medical trends.
- Operating results remain good, but margins are expected to decline materially due to an elevated medical loss ratio driven by increased utilization on unit costs across all lines on business.
- The administrative expense ratio benefits from UnitedHealthcare's large scale. Nevertheless, the organization is focused on gaining efficiencies to control administrative expenses.
- Revenue and earnings are well diversified across business segments and geographies.

Business Profile: **Very Favorable**

- UnitedHealthcare has a substantial nationwide presence with solid market share in all business segments.
- Large, diversified enrollment base that UnitedHealthcare leverages for economies of scale for both medical and administrative expenses.
- Benefits from longstanding strategic partnership with AARP for product and service offerings, which supports membership growth and retention trends in senior markets.
- The organization continues to increase value-based care reimbursement arrangements with providers to provide high-quality, cost-effective healthcare with better outcomes and member well-being.
- The organization is data driven with high utilization of technology and data analytics in all areas of the organization. Innovation is a core competency of the organization and is looked to for business solutions and transformation.

Enterprise Risk Management: **Appropriate**

- Mature and comprehensive enterprise risk management (ERM) program that continues to evolve due to the complexity of the organization and the operating environment. Well-defined framework for risk identification, assessment, reporting and monitoring.
- The ERM process is continuous and involves all levels of the organization. Ultimate responsibility for ERM falls to senior management and the board of directors.
- Tolerance and appetite statements are used to guide day-to-day operations, business development and innovation investments.
- Advanced modeling and solvency stress scenario testing are part of ERM capabilities. UnitedHealth Group Incorporated utilizes economic capital modeling outputs and solvency stress testing to support long-term operating plans.
- Cyber and information security has been a component of ERM for the organization but has now moved up in priority due to the data breach experienced by affiliate, Optum Insight.

Outlook

- The stable outlooks reflect the expectation that balance sheet strength will be maintained at the strong level, supported by favorable operating earnings and a history of prudent capital management for insurance subsidiaries. Furthermore, the outlooks also reflect UnitedHealthcare's solid market position as well as material geographic and business diversification.

Rating Drivers

- Negative rating action could occur if there is a material decline in balance sheet strength metrics.
- Negative rating action could occur if there is a significant unfavorable change in the balance sheet strength metrics of UnitedHealth Group Incorporated.
- Positive rating action could result if there is sustained improvement in balance sheet strength metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	47.7	25.3	16.6	13.7

Source: Best's Capital Adequacy Ratio Model - Combined Life & Health, US

Year End - December 31

Key Financial Indicators USD (000)	2024	2023	2022	2021	2020
Total Assets	64,253,851	62,320,781	58,422,357	57,120,458	53,811,144
Policy and Claim Reserves:					
Life and Annuity	186,796	168,159	154,291	156,620	134,812
Accident & Health	8,796,934	7,692,039	7,055,720	7,379,014	7,091,483
Health	15,644,505	15,006,024	14,599,027	14,545,402	12,860,459
Capital and Surplus	27,082,995	25,745,313	22,996,461	22,462,732	21,907,567
Total Revenues	204,345,053	188,613,308	178,640,196	179,664,294	165,807,609
Net Income	8,486,935	9,289,527	8,851,032	7,512,390	8,438,317
Net Operating Cash Flow	7,833,784	7,910,074	10,744,439	8,358,837	11,981,968
Net Premiums Written:					
Life and Annuity	453,155	414,743	373,424	321,903	281,400
Accident & Health	56,745,709	47,309,050	44,302,269	54,224,000	55,777,553
Health	143,731,187	138,430,954	132,202,943	124,702,453	109,944,856
NPW Total	200,930,051	186,154,747	176,878,636	179,248,357	166,003,809

Source: BestLink® - Best's Financial Suite

Year End - December 31

Key Financial Ratios	2024	2023	2022	2021	2020	Weighted Average
Overall:						
Operating Return on Revenue (%)	4.1	4.9	5.0	4.1	5.1	4.6
Operating Return on Capital and Surplus (%)	31.5	38.0	39.2	33.5	38.8	36.1
Health Operations:						
Loss Ratio (%)	62.2	63.0	62.8	58.6	52.9	60.1
Administrative Expense Ratio (%)	9.8	9.9	10.3	10.3	12.4	10.5
Combined Ratio (%)	72.1	72.9	73.1	68.9	65.3	70.5
IBNR Coverage (Days)	19.4	19.3	21.4	21.9	25.4	...

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

The balance sheet strength of the UnitedHealthcare Companies is strong. The balance sheet assessment is based on a very strong BCAR, invested assets held mostly in high quality fixed income securities and cash as well as consistently strong operating cash flow.

Balance Sheet Strength (Continued...)

Capitalization

UnitedHealthcare companies, including UnitedHealthcare, Sierra Health and Life, Oxford, AmeriChoice, All Savers, Health Plan of Nevada, Golden Rule Freedom Life, Neighborhood Health Partnership and Chesapeake Life entities, have a very strong level of risk-adjusted capitalization as measured by the Best Capital Adequacy Ratio (BCAR). The group's very strong BCAR is driven by conservative asset allocation, diversification of its premiums by line of business and capital and surplus growth aligned with its premium growth. The BCAR also benefits from a managed care credit based on capitation arrangements with its affiliate, Optum, as well as other providers. The group pays significant dividends to the parent however they historically have lagged net income allowing for capital growth. Overall, the parent company's, UnitedHealth Group, reliance on dividends from statutory entities has declined materially due to the strong growth of non-regulated earnings and cash flows from Optum. Furthermore, UnitedHealth Group has a high level of financial flexibility and resources to support the individual entities if needed.

While earnings have predominantly been the driver of capital expansion, near term losses at some subsidiaries has necessitated direct capital contributions. Statutory entity capitalization needs are managed through long term capital planning. In addition, UnitedHealth Group maintains internal lines of credit for the majority of its insurance subsidiaries for short-term borrowing to supplement cash flow which are actively utilized by a number of statutory entities.

Year End - December 31

Capital Generation Analysis USD (000)	2024	2023	2022	2021	2020
Beginning Capital and Surplus	25,427,143	23,354,226	22,470,823	21,894,166	21,475,647
Net Operating Gain	8,327,938	9,271,302	8,908,713	7,437,287	8,424,972
Net Realized Capital Gains (Losses)	158,997	18,225	-57,681	75,103	13,345
Net Unrealized Capital Gains (Losses)	-88,295	30,579	-63,245	24,625	8,443
Net Change in Paid-In Capital and Surplus	9,284	213,792	157,620	815,076	-123,657
Stockholder Dividends	-6,755,000	-6,914,200	-8,320,400	-7,786,701	-7,665,400
Other Changes	2,927	-228,611	-99,369	3,176	-225,783
Net Change in Capital and Surplus	1,655,852	2,391,087	525,638	568,566	431,920
Ending Capital and Surplus	27,082,995	25,745,313	22,996,461	22,462,732	21,907,567
Net Change in Capital and Surplus (%)	5.2	12.0	2.4	2.5	2.0
Net Change in Capital and Surplus (5-yr CAGR)	4.8	...	...	...	...

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis (%)	2024	2023	2022	2021	2020
Overall:					
Operating Cash Flow Margin (%)	3.8	4.2	6.0	4.7	7.2
Current Liquidity (%)	111.3	109.4	112.9	107.2	112.3
Health Operations:					
Benefit and Loss Related Payments to Net Premiums Collected (%)	84.8	83.9	83.1	83.1	78.0
General Expenses and Taxes Paid to Net Premiums Collected (%)	12.6	13.1	11.7	12.9	15.6
Premium Receivable Turnover (months)	0.2	0.2	0.2	0.2	0.2

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)	2024	2023	2022	2021	2020
Debt to Total Capital and Surplus	0.1	0.1	...	...	...
Net Premiums Written to Total Capital and Surplus	7.4	7.2	7.7	8.0	7.6
General Account Liabilities to Total Capital and Surplus	1.4	1.4	1.5	1.5	1.5

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Asset Liability Management - Investments

The investment portfolios for all of UnitedHealthcare's life and health insurance subsidiaries are managed in aggregate at the parent, UnitedHealth Group. UnitedHealthcare maintains a conservative investment policy with key investment objectives, for UnitedHealthcare and its subsidiaries, to preserve capital, ensure the liquidity of each entity, and to maximize economic value defined as portfolio after-tax total return. The investment policy is applied to UnitedHealth Group's regulated and non-regulated portfolios on a consolidated basis and is followed by both internal and external investment managers. State regulations supersede this policy if such regulations are more restrictive.

Invested assets for UnitedHealthcare Companies totaled almost \$42.4 billion for 2024. Fixed income securities account for slightly less than three-quarters of investments, and about a quarter is held in cash and short-term investments with nominal allocations to equity, real estate and schedule BA assets. The bond portfolio is predominantly comprised of investment grade fixed income securities with an average maturity of the portfolio is 5.6 years.

Year End - December 31

Composition of Cash and Invested Assets	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	42,357,819	41,008,114	40,489,158	37,812,059	36,283,847
Composition Percentages (%)					
Cash and Short Term Investments	26.2	23.9	25.5	24.1	23.3
Bonds	71.5	73.3	71.9	73.0	74.3
Preferred and Common Stock	0.9	1.4	0.5	0.6	0.5
Mortgage Loans	0.1	0.1	0.1	0.1	...
Other Invested Assets	2.3	2.4	2.0	2.2	1.9
Non-Admitted	-1.0	-1.1	...	...	...
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Years

Bonds and Short Term Investments - Distribution by Maturity (%)	0-1	1-5	5-10	10-20	20+	Average (Years)
Government Bonds	8.0	3.3	3.6	0.4	0.1	3.2
Government Agencies and Municipal Bonds	3.3	11.7	9.9	5.6	2.8	7.9
Industrial and Miscellaneous Bonds	8.4	22.7	15.1	1.6	0.8	4.7
Bank Loans	...	1.0	1.1	...	...	5.3
Hybrid Securities	0.1	0.3	0.1	...	...	3.6
Total Bonds	19.8	39.0	29.9	7.6	3.7	5.6

Source: BestLink® - Best's Financial Suite

Year End - December 31

Bonds - Distribution by Issuer	2024	2023	2022	2021	2020
Bonds USD (000)	30,290,574	30,066,142	29,130,748	27,609,173	26,943,490
US Government (%)	9.7	9.5	8.7	9.9	9.1
Foreign Government (%)	0.2	0.2	0.2	0.3	0.2
State, Municipal & Special Revenue (%)	35.9	35.5	34.4	32.3	36.8
Industrial & Miscellaneous (%)	53.6	54.6	56.4	57.3	53.6
Hybrid Securities and Other (%)	0.6	0.3	0.3	0.3	0.4
Total (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)**Holding Company Assessment**

UnitedHealth Group has exhibited a solid equity position and good capital management capabilities over the past few years, driven mostly by favorable net earnings. UnitedHealth Group's GAAP shareholder's equity reported \$98.3 billion at December 31, 2024, compared to \$94.4 billion at 2023 year-end. Equity growth is being driven by strong net earnings partially offset by share repurchases and cash dividends. Shareholder equity totaled \$100.5 billion at June 30, 2025.

Share repurchase activity has generally been increasing year over year. However, the company did moderate the program in 2020 and 2021 due to the COVID-19 pandemic and associated general economic concerns. The company's share repurchase program is flexible and has historically been adjusted as needed to meet capital deployment and financial leverage objectives and to bolster liquidity. UnitedHealth Group repurchased shares at an aggregate cost of approximately \$9.0 billion in 2024, \$8.0 billion in 2023, \$7.0 billion in 2022, \$5.0 billion in 2021, and \$4.3 billion in 2020.

The company's shareholder dividends have been steadily increasing over the past five years, with annual increases in the quarterly dividends. Dividends paid totaled \$7.5 billion in 2024, \$6.8 billion in 2023, \$6.0 billion in 2022, \$5.3 billion in 2021, and \$4.6 billion in 2020. Dividend increases have historically been announced in June of each year. In June 2025, the dividend was increased to an annual rate of \$8.84 per share from \$8.40 per share approved in June of 2024.

The company has ample liquidity through favorable operating cash flows, access to its revolving bank credit facilities which provide support for their active commercial paper borrowing program, as well as other initiatives. The revolving credit facility is for a total of \$21 billion and is renewed annually. UnitedHealth Group manages to 40% debt to capital on a long-term basis but will allow this metric to exceed 40% as conditions dictate with plans to bring the measure back to the company's target. Increased leverage has mainly been due to acquisition activity and timing of debt maturities/issuances. UnitedHealth Group's financial leverage, as measured by AM Best, was approximately 44.1% at June 30, 2025. The elevated leverage at year-end 2024 is mainly due to lower equity growth based on lower net earnings reported for the year. UnitedHealth Group has demonstrated in the past its ability to moderate financial leverage through strong earnings from operations as well as the flexibility of its share repurchase program.

Due to its history of merger and acquisition activity, UnitedHealth Group has high goodwill plus intangible assets to capital which was 129.6% at June 30, 2025. This ratio has exceeded 100% of equity for the past five years. However, the company has no history of any material write downs over the past 10 plus years and the majority of acquisitions have favorably impacted revenue and earnings as well as created a platform for diversified profitable growth and generated material non-regulated cash flow to the holding company.

The company's earnings before interest and taxes (EBIT) interest coverage is good at six times but it moderated in 2024 based on the lower level of earnings. UnitedHealth Group produces solid and diverse earnings from both its regulated and non-regulated business. Non regulated operating cash flows remain strong and are able to support good debt service coverage excluding earnings for insurance operations. In addition, on a GAAP basis consolidated cash and investments for UnitedHealth Group were \$84.5 billion with approximately 34% held in cash and cash equivalents as of June 30, 2025. Operating cash flow remains solid at \$24.2 billion for 2024, \$29.1 billion for 2023 and \$26.2 billion in 2022.

UnitedHealth Group's consolidated total revenues including premium, investment, service, and product revenue through December 31, 2024, totaled \$400.3 billion compared to \$371.6 billion for the prior year, or a growth rate of 7.7%. This was driven by growth in health insurance premiums for UnitedHealthcare of approximately 6.2% year over year, as well as service revenue generated by Optum which reported 12.3% growth. UnitedHealthcare's domestic enrollment increased 4.5% reaching 49.3 million medical members through December 31, 2024, driven mostly by growth commercial enrollment. Total commercial domestic enrollment reported an 8.8% increase in membership. Medicare Advantage enrollment growth moderated in 2024 with enrollment increasing by only 2%, the organization does benefit from its strategic relationship with AARP. Medicaid enrollment has declined by 5.2% mainly due to re-determinations of eligibility by the states offsetting new contract membership growth. International enrollment decreased materially with the sale of the Brazil operations, through December 31, 2024, International enrollment totaled 1.3 million down 4.2 million members due to the sale. Optum Revenues were up 11.6% through December 31, 2024. Overall revenue growth for Optum moderated in 2024. Noteworthy is the fact that about 60% of Optum revenues are from UnitedHealthcare and are eliminated on consolidation. Increased revenues were reported at most of Optum divisions; Optum Health revenues were up 10.5%, and Optum Rx revenues were up 14.8%. Optum Insight revenues were down about 1% for the year. Growth for Optum Health is coming from the services provided to UnitedHealthcare's growing enrollment, increased number of patients under value-based care arrangements and expansion of care delivery capabilities. Optum Rx growth is mainly from new clients and expansion of contracted services with existing clients. Optum Insight revenue decline was mainly attributable to business disruption at Optum Insight due to the cyber breach at its Change Healthcare operations.

Balance Sheet Strength (Continued...)

UnitedHealth Group's consolidated total revenues including premium, investment, service, and product revenue through June 30, 2025, totaled \$221.2 billion compared to \$198.7 billion for the first half of 2024, a growth rate of 11.3%. This is mainly driven by growth in health insurance premiums and service revenues for UnitedHealthcare of approximately 14.4% through the first half of 2025. UnitedHealthcare's medical enrollment increased by 770,000 members reaching 50.1 million medical members as of June 30, 2025, driven mostly by growth in Medicare Advantage and fee based commercial business. Overall revenue growth for Optum was good at 5.8% through the first half of 2025, excluding elimination. Noteworthy is the fact that about 60% of Optum revenues are from UnitedHealthcare and are eliminated on consolidation. Increased revenues were reported at Optum Rx where revenues were up 16.3% and Optum Insight with revenues up 5.6% as of June 30, 2025. The robust revenue growth for Optum Rx is being driven by new clients and expansion of existing client relationships. Optum Health revenues were down 6.1% for the first half of 2025 this is being driven by revisions to legacy customer contracts and the effects of Medicare Advantage funding cuts.

Through December 31, 2024, UnitedHealth Group reported flat consolidated earnings from operations of \$32.3 billion compared to \$32.4 billion for 2023. Operating margin declined to 8.1% for full year 2024 from 8.7% for 2023. UnitedHealthcare earnings from operations are down 5.1% for 2024 compared to prior year which reflects increased cost due to the cyberattack and an increasing medical trend. Optum earnings from operations are up 5.0% for 2024 compared to prior year which mainly reflects higher revenues as margin contracted to 6.6% from 7.0% for 2023. Margin contraction is mainly due to business mix changes toward more labor intensive health care delivery business under Optum Health and lower earnings for Optum Insight.

Through June 30, 2025, UnitedHealth Group reported consolidated earnings from operations of \$14.3 billion down from \$15.8 billion for the first half of 2024. Operating margin declined to 6.5% through 6/30/25 from 8.0% through 6/30/24. UnitedHealthcare earnings from operations are down 13.1% for the first half of 2025 compared to prior year which mainly reflects increased utilization and medical trend across all lines of business but most pronounced in Medicare Advantage. Furthermore, the unfavorable impact of Medicare Advantage rates is also suppressing earnings. Optum earnings from operations were down 5.9% for 2024 compared to prior year mainly reflects higher medical care activity, Medicare funding reductions, the impact of risk model changes and the mix of newly members. Operating margin declined to 5.3% through 6/30/25 from 6.0% at 6/30/25. Margin contraction is mainly due to results from Optum Health. UnitedHealth Group outlook for full year 2025 is for operating earnings between \$21.6 billion and \$22.2 billion.

It is anticipated that UnitedHealth Group will continue to produce favorable balance sheet and operating trends although at a lower level than historically reported. The company has significant scale and is well diversified between business segments in its insurance operations as well as within its non regulated Optum, healthcare service businesses. The organization remains focused on innovation around member experience, operations, product design, provider reimbursement, care management and health related services with an emphasis on the use of technology and data analytics. Due to its geographic diversity of operations and segmented customer base, UnitedHealth Group has no undue reliance on any single market, customer, or health care provider. However, similar to industry trends, the share of revenue and earnings from government programs has increased materially over the years. Furthermore, the strong earnings and cash flow from operations supports the organization's strong balance sheet strength and liquidity.

Financial Leverage Summary - Holding Company

Financial Leverage Ratio (%)	43.70
Adjusted Financial Leverage Ratio (%)	42.80
Interest Coverage (x)	8.12

Operating Performance

The operating performance for UnitedHealthcare Companies is assessed as "strong". UnitedHealthcare companies, including; UnitedHealthcare, Sierra Health and Life, Oxford, AmeriChoice, All Savers, Health Plan of Nevada, Golden Rule Freedom Life, Neighborhood Health Partnership and Chesapeake Life entities, have reported strong earnings over the last five years based on a consistently favorable premium growth trend and good underwriting gains which are enhanced by investment income. Premium revenue and operating earnings are significantly diversified both geographically and across all business segments. Operating results have historically shown a low level of volatility based on stable overall loss ratios. There was margin moderation seen in 2024 mainly due to business mix change with more fully insured enrollment in government programs, Medicare Advantage and Medicaid as well as an uptick in medical utilization for the Medicare Advantage enrollment.

In 2025, margins have shown compression driven by unfavorable utilization and medical cost trends across all lines of business, but more pronounced in Medicare Advantage. In the second quarter of 2025, the organization has commented that they have experienced persistently higher medical cost trends in the Medicare Advantage segment which was greater than expected. Contributing factors

Operating Performance (Continued...)

include, the medical costs of many Medicare Advantage beneficiaries new to UnitedHealthcare remain higher than expected as well as the impact of Medicare funding reductions on retained members. Due to the design of the Medicare Advantage program, UnitedHealthcare is unable to implement corrective pricing actions until 2026, and the issues within the Medicare Advantage segment are expected to persist for the remainder of 2025.

Premium growth has been seen in most lines of business, but it is more pronounced in Medicare Advantage. The company continues to report enrollment growth trends in its Medicare Advantage business. While growth in Medicare Advantage did slow in 2024, the company experienced greater enrollment growth in 2025 adding 505,000 new members. Commercial business is again showing premium growth driven by rate increases and gains in membership in fee based business offsetting losses in risk-based enrollment. In 2024, Medicaid enrollment declined however, premiums increased as more of the enrollment is in Special Needs Plans with high premiums per member per month (PMPM). Through the first half of 2025 Medicaid enrollment was up 55,000 members

Underwriting gains were especially strong from 2020 to 2023. This was due to a combination of factors including; the halt of state eligibility redeterminations for Medicaid during the public health emergency, the deferral of non essential care during the COVID pandemic for all lines of business but seen more so with Medicare Advantage members, and then the gradual return of medical utilization to pre-pandemic levels. Utilization trends normalized over the past two years with notable uptick in inpatient care, pharmacy cost (especially specialty pharmacy) and elective services toward the end of 2024. Operating performance through the first half of 2025 reflects continuation of unfavorable trends in Medicare Advantage business and increased medical cost trends across commercial and Medicaid business. Despite the challenges being seen in the first half of 2025, overall operating performance is expected to remain favorable but below historical levels.

In 2024, UnitedHealthcare Companies reported statutory net income of \$8.5 billion, down from \$9.3 billion reported in 2023. The decline in net earnings in 2024 was driven by lower earnings from Medicaid as the population returned to pre-pandemic levels with more modest margins and margin compression for Medicare Advantage. The UnitedHealthcare Companies account for a substantial portion of premium revenue and earnings from insurance operations for UnitedHealth Group. Favorable financial performance has enabled the parent company, UnitedHealth Group to receive significant dividends from these regulated entities.

Year End - December 31

Net Operating Gain by LOB - Life Operations USD (000)

	2024	2023	2022	2021	2020
Individual Life	31,202	25,615	12,181	20,492	16,992
Group Life	7,179	-9,324	-8,033	-45,955	-18,756
Individual Annuities	51	72	21	57	58
Accident & Health	3,632,353	3,175,443	2,787,222	2,233,978	2,950,803
Total	3,670,786	3,191,806	2,791,391	2,208,573	2,949,097

Source: BestLink® - Best's Financial Suite

Year End - December 31

Net Underwriting Gain - Health Operations USD (000)

	2024	2023	2022	2021	2020
Comprehensive	...	-52	1,185,404	950,537	938,381
Dental	60,245	25,017	46,959	53,157	37,612
Vision	-39,202	4,989	10,154	8,114	6,503
Federal Employee Health Benefit Plan	16,594	19,386	28,055	10,339	40,694
Medicare	3,646,290	4,992,681	5,187,913	4,283,681	4,889,802
Medicare Supplement	51,744	14,618	12,642	15,024	18,086
Medicaid	-74,896	947,407	1,389,369	868,470	977,729
Other Health	476,143	346,981	131,410	78,739	393,596
Other Non-Health	157	4,081	4,043	1,827	3,079
Total	5,535,325	7,846,594	7,995,949	6,269,889	7,305,482

Source: BestLink® - Best's Financial Suite

Business Profile

UnitedHealthcare companies, including UnitedHealthcare, Sierra Health and Life, Oxford, AmeriChoice, All Savers, Health Plan of Nevada, Golden Rule Freedom Life, Neighborhood Health Partnership and Chesapeake Life entities, provide health insurance benefits, as well as various ancillary products, to employer groups and individuals and government and state agencies throughout the United States. The business profile for these companies is assessed as "very favorable".

UnitedHealth Group is a diversified health care company with two primary business platforms: UnitedHealthcare which provides health benefit products and Optum which provides healthcare services. The life and health insurance companies are a part of the UnitedHealthcare platform.

UnitedHealthcare, operates in all 50 states, the District of Columbia, and the U.S. territories, as well as internationally, and serves individuals, small, middle, large national and public sector employees in its commercial market segments. UnitedHealthcare offers organized health benefit plans, including health maintenance organization (HMO), point of service (POS), preferred provider organizations (PPO), administrative services only (ASO), and managed indemnity programs. UnitedHealthcare also offers Medicare Supplement insurance, Medicare Advantage and Medicaid Managed Care products. UnitedHealthcare utilizes the services of Optum for care delivery, home care services, outpatient surgery, coordination of care, complex care management, management of pharmacy benefits (including specialty pharmacy), innovative technologies and data analytics. UnitedHealth Group's alignment of its internal business structure establishes efficient segment focused business units. Business segments exist for each of the key business lines. UnitedHealthcare's health insurance and services platform includes UnitedHealthcare Employer and Individual, UnitedHealthcare Medicare and Retirement, and UnitedHealthcare Community and State. Optum's health services operations includes Optum Health, which includes care delivery, home care services, care management, wellness and consumer engagement, and health financial services; Optum Rx which offers pharmacy care services (including specialty pharmacy); and Optum Insight, which offers data and analytics and other health care information technology services and operational services and support. UnitedHealth Group's corporate oversight of these two platforms include general management and various operational aspects, including information systems and certain administrative functions.

UnitedHealthcare is one of the largest health care insurance carriers in the United States. The company provides coverage to over 50 million members domestically. UnitedHealthcare maintains broad geographic and product focus competing in multiple lines of business in various markets. Over the past year, domestic medical membership increased 5% mainly based on enrollment gains in commercial business of 9% and a smaller increase in Medicare Advantage membership of 2% offsetting a 5% decline in Medicaid membership. UnitedHealthcare has strong market share by geography and line of business throughout the U.S. While UnitedHealthcare enjoys one of the strongest national market positions, a number of local markets are dominated by local carriers with UnitedHealthcare holding significant but not leading market share.

International medical operations reported as Commercial - global serves 1.2 million individuals primarily in South America. This business is currently reported as held for sale. In 2024 UnitedHealth Group sold the majority of its global operations reporting a decline in global members of 4.2 million primarily in Brazil.

Over the past fifteen years UnitedHealth Group has expanded mainly through organic membership growth. The last notable health insurance based acquisitions were in 2008 when Sierra Health Services and Unison Health Plans were acquired.

More recent acquisitions for UnitedHealth Group have been predominantly in the health services area under the Optum platform. Notable acquisitions included the 2015 acquisition of Catamaran Corporation, one of the leading pharmacy benefit managers (PBMs) in the U.S. The acquisition significantly increased the scale of Optum Rx operations. In 2017, Surgical Care Affiliates, an ambulatory surgery center and surgical hospital provider, was acquired and became part of the Optum Health division. The acquisition of DaVita Medical Group, which was completed in 2019, further expanded Optum Health's care delivery capabilities with over 300 clinics. Also, in 2019 UnitedHealth Group acquired Equian, a healthcare payments firm which expands capabilities for the Optum Insight division. In 2020, UnitedHealth Group acquired specialty pharmacy Diplomat and DivvyDose a company that provides prepackaged daily medications now part of Optum Rx. Also in 2020 naviHealth was acquired, this was a start-up company providing post-acute care management and is now part of Optum Health. Landmark Health was acquired in 2021 and LHC Group in 2023 to continue to build Optum Health's in home care delivery and services. In 2022 Change Healthcare, a healthcare technology company, expanding Optum Insight operations was acquired. In 2025 UnitedHealth Group acquired Amedisys, a home health and hospice provider. In addition to aforementioned large transactions, UnitedHealth Group has completed many small and mid-size acquisitions to enhance both insurance and service capabilities adding to the strength of the organization.

The UnitedHealthcare platform consists of UnitedHealthcare Employer & Individual, UnitedHealthcare Medicare and Retirement, and UnitedHealthcare Community and State. The UnitedHealthcare Employer & Individual segment coordinates health and well-being services on behalf of local employers and consumers nationwide. UnitedHealthcare Employer & Individual offers its products through

Business Profile (Continued...)

subsidiaries that are usually licensed as insurance companies, health maintenance organizations (HMOs) or third-party administrators (TPAs). UnitedHealthcare Employer & Individual offers risk-based or fully insured products. It also provides administrative and other management services to health plans and self-funded customers for which UnitedHealthcare Employer & Individual receives a fee, as it does not assume the risk of health care costs.

As of June 30, 2025, UnitedHealthcare Employer & Individual served almost 30.0 million members in national accounts, public employer sector, mid-size and large employers, small groups and individual business segments, with about 30% full risk and 70% fee-based enrollment. National Accounts, which is the largest part of UnitedHealthcare Employer and Individual segment, focuses on serving the needs of large, diverse, multi-location employers through technological and service driven support tailored to the specific needs of each one of its customers. This business is mostly fee-based (self-funded) with UnitedHealthcare Employer & Individual acting as administrator for all coverage. Public employer sector services people through local governments, educational institutions, and labor unions. UnitedHealthcare Employer & Individual provides benefits to members working for large, mid-size and small employers. UnitedHealthcare participated in exchange markets with products offered in 30 states for 2025 plan year. In addition to health coverage, UnitedHealthcare Employer & Individual provides specialty benefits, including dental, vision, life, critical illness and disability.

UnitedHealthcare Medicare & Retirement provides health services for individuals aged 50 and older, addressing their unique needs for preventative and acute health care services, as well as for services dealing with chronic disease and other specialized issues for older individuals. As a part of this business, UnitedHealthcare began a long-term partnership with AARP, the nation's largest organization for older Americans that currently provides Medicare Supplement, hospital indemnity insurance, Medicare Advantage and Medicare Prescription Drug (Part D) coverage. UnitedHealthcare has a long-term agreement with AARP, which gives UnitedHealthcare an exclusive right to use the AARP brand on its Medicare Supplement, Medicare Advantage and Medicare Part-D offerings.

UnitedHealthcare Medicare & Retirement participates nationally in the Medicare program, offering a wide-ranging spectrum of Medicare products, including Medigap products in the supplement traditional fee-for-service coverage, more traditional health programs under Medicare Advantage, Medicare Part D prescription drug coverage, and special offerings for beneficiaries who are chronically ill and/or Medicaid and Medicare dual eligible. Medicare Advantage products include Medicare Advantage HMO, PPO plans, Special Needs Plans (SNP), POS plans, and Private Fee-for-Service (PFFS) plans. UnitedHealthcare Medicare & Retirement offers Medicare Advantage products in all 50 states and the District of Columbia. As of June 30, 2025, UnitedHealthcare Medicare & Retirement had approximately 8.4 million enrolled individuals in its Medicare Advantage products. Additionally, UnitedHealthcare Medicare & Retirement is one of the nation's largest Medicare Prescription Drug, Part D, providers offering coverage to beneficiaries in all 50 states, the District of Columbia and U.S. territories. Among the Part D plans offered, is a product with the AARP brand name. As of June 30, 2025, UnitedHealthcare Medicare & Retirement had enrolled approximately 4.3 million people in the stand-alone Part D plans. In association with AARP, UnitedHealthcare Medicare & Retirement offers Medicare Supplement to about 4.3 million AARP members. The AARP contract represents additional indemnity business for the insurance operations, and AM Best views the marketing opportunities associated with that block positively.

UnitedHealthcare Community & State is a business unit dedicated specifically to servicing state Medicaid and other low-income programs within selected states. UnitedHealthcare Community & State provides solutions to states for the care of the economically disadvantaged, medically under-served, and those without benefit of employer-funded health care coverage. As of June 30, 2025, UnitedHealthcare Community & State offers health plans in 33 states and the District of Columbia, serving about 7.5 million beneficiaries of acute and long-term care Medicaid plans, the Children's Health Insurance Program (CHIP), Special Needs Plans and other federal and state health care programs. UnitedHealthcare Community & State's health plans and care programs are designed to address the complex needs of the populations they serve, including the chronically ill, those with disabilities, and people with higher risk medical, behavioral and social conditions.

Business Profile (Continued...)

Year End - December 31

Net Premiums Written by Line of Business USD (000)	2024	2023	2022	2021	2020
Individual Life	166,510	152,969	134,744	113,823	96,167
Group Life	283,310	258,116	234,516	203,774	182,175
Individual Annuities	131	143	140	163	136
Accident & Health	56,745,709	47,309,050	44,302,269	54,224,000	55,777,553
Comprehensive	23,564,739	20,279,877	19,594,560	19,634,150	19,534,158
Dental	266,023	246,664	239,070	92,510	91,253
Vision	49,509	44,780	41,747	9,974	10,113
Federal Employee Health Benefit Plan	187,199	186,469	209,648	221,082	254,464
Medicare	89,367,294	85,193,350	79,307,336	75,089,543	64,039,133
Medicare Supplement	897,557	707,093	650,911	610,028	589,553
Medicaid	27,865,479	27,476,218	28,371,792	26,167,847	23,135,129
Other	1,536,455	4,299,866	3,791,726	2,881,463	2,293,975
Total	200,930,051	186,154,747	176,878,636	179,248,357	166,003,809

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Enterprise Risk Management (ERM) is coordinated at the parent company, UnitedHealth Group, and encompasses both UnitedHealthcare and Optum. ERM assessment is "adequate". The program is developed, and the group's risk management capabilities are aligned with its risk profile. However, AM Best recognizes the missteps that have occurred within the organization, including the Change Healthcare cyber-attack as well as the pricing and product design shortfalls in the Medicare Advantage business that were announced in the second quarter 2025.

The ERM program includes: risk culture and governance; risk identification and prioritization; risk statements, tolerances and limits; risk management and controls; risk reporting and communication; and risk-based capital modeling. A well developed framework centers around governance and oversight and includes: risk identification and prioritization; risk response; monitoring and reporting; stress and scenario testing; and capital management; and business strategy and risk statements. UnitedHealth Group utilizes specific risk statements for each of the following; business strategy, growth, technology, capital management and liquidity.

ERM is embedded into the culture of the organization and is utilized in operational management of its businesses and strategic planning on a near and long-term basis. The risk governance structure is multi-level with the ultimate responsibility with the Audit Committee of The Board. The governance structure has responsibilities at each business unit and functional area. There is a formal, bottom-up, organization-wide risk assessment process that is conducted through surveys, interviews and risk workshops annually. Risks are prioritized and aggregated by business segment and on a consolidated company wide basis. There are dedicated ERM staff, and the program is coordinated by the Risk Working Group and Enterprise Risk Oversight Committee. Reporting is conducted quarterly to the Risk Working Group and annually to the Audit Committee of the Board and regulators through the annual ORSA report.

The company performs sophisticated stress and scenario testing, solvency assessment and economic capital modeling. Key risks are captured in a multi-year capital model that facilitates scenario and stress-testing. This model is used in aggregate and at the business unit level. Prospective solvency testing and economic capital modeling are incorporated into the ERM program to ensure long term solvency and efficient use of capital. Over the past year there has been an emphasis on information technology and security.

Environmental, Social & Governance

UHG approaches ESG through their impact on people and the environment. As a healthcare organization the root of everything they do is about the health and wellbeing of not only their members but all people. Their mission statement is "Helping people live healthier lives and helping make the health system work better for everyone". In their work to carry out their mission they work toward meaningful changes to healthcare reimbursement with a movement toward value-based care which financially aligns insurers and providers to provide benefits and health care that is high quality, cost efficient and easier to use. UHG has specific focus areas to

Enterprise Risk Management (Continued...)

address health equity including; behavioral and mental health, access to care and affordability, care experience and workforce, chronic condition management, mortality and life expectancy and social drivers of health.

They are also well aware of the impact they have on their employee and communities. UHG has over 400,000 employees worldwide and works to have a diverse team that aligns with the diverse communities they serve. Through their foundation they are also investing in new programs and partnerships that will work toward a more diverse health workforce over the next ten years.

UHG as a large organization is cognizant of their impact on the environment and are committed to mitigating their impact. They have a long-term commitment to reduce their carbon footprint over time with a path toward operational net-zero by 2035.

UHG has sound governance practices through their senior management, board, ERM framework and compliance program. The organization has a Governance Committee as well as an ESG Steering Committee.

Financial Statements

Year End - December 31

	2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	11,108,524	17.3	9,798,298	15.7
Bonds	30,290,574	47.1	30,066,142	48.2
Preferred and Common Stock	29,061	...	207,751	0.3
Other Invested Assets	929,660	1.4	935,923	1.5
Total Cash and Invested Assets	42,357,819	65.9	41,008,114	65.8
Premium Balances	7,852,351	4.2	8,887,452	6.1
Healthcare and Other Receivables	5,597,245	8.7	4,918,420	7.9
Other General Account Assets	8,446,436	13.1	7,506,795	12.0
Total General Account Assets	64,253,851	100.0	62,320,781	100.0
Total Assets	64,253,851	100.0	62,320,781	100.0
Policy and Claim Reserves	24,628,235	38.3	22,866,222	36.7
Liability for Deposit Contracts	197,953	0.3	273,578	0.4
Funds Held Under Reinsurance and Coinsurance Agreements	240,742	999.9	232,286	999.9
Asset Valuation Reserve	175,578	0.3	432,038	0.7
Accrued Expenses and Other General Account Liabilities	11,928,348	18.6	12,771,344	20.5
Total General Account Liabilities	37,170,857	57.9	36,575,468	58.7
Total Liabilities	37,170,857	57.9	36,575,468	58.7
Capital Stock	121,653	0.2	121,664	0.2
Paid-In and Contributed Surplus	5,993,157	9.3	6,050,531	9.7
Unassigned Surplus	20,229,945	31.5	18,886,824	30.3
Other Surplus	738,240	1.1	686,294	1.1
Total Capital and Surplus	27,082,995	42.1	25,745,313	41.3
Total Liabilities, Capital and Surplus	64,253,851	100.0	62,320,781	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Income Statement USD (000)	2024	2023
Net Premiums Earned	201,796,611	186,370,011
Other Revenues	457,272	450,923
Net Investment Income	2,091,170	1,792,374
Total Revenues	204,345,053	188,613,308
Net Incurred Benefits	172,270,322	155,961,476
Commissions and Expense Allowances	2,124,435	1,965,530
Insurance and Other Expense	19,452,090	18,935,381
Pre-Tax Net Operating Gain	10,498,205	11,750,921
Income Taxes Incurred	2,170,267	2,479,619
Net Operating Gain	8,327,938	9,271,302
Net Realized Capital Gains (Losses)	158,997	18,225
Net Income	8,486,935	9,289,527

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2024	2023
Net Premiums Collected	202,346,992	185,248,129
Other Revenue Received	424,280	348,927
Net Investment Income	2,237,746	1,964,294
Total Income Collected	205,009,018	187,561,350
Net Benefits and Loss Related Payments	171,583,227	155,454,253
Underwriting and Other Expenses Paid	23,172,680	21,641,385
Income Taxes Paid (Recovered)	2,419,326	2,555,638
Net Operating Cash Flow	7,833,784	7,910,074

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

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